

May 18, 2025

Stocks Rally, But Investors Are Paralyzed

Jordi Visser

JVisser@22VResearch.com

22vresearch.com

Investors seem paralyzed as this stock market rally rolls on. The S&P 500 has been up five days in a row and 16 of the last 19 since the Treasury Secretary's dinner where he signaled de-escalation with China. Now, the index sits just below all-time highs—yet positioning remains hesitant, and the focus is still on the wrong risks.

In [this week's video](#), I explain why headlines about tariffs and recession are distracting investors from the much bigger structural shifts unfolding beneath the surface.

The U.S. economy, driven by services and top-heavy consumption, shows no signs of traditional recession. Jobless claims are steady, earnings are strong, and capital markets have rebounded sharply. Meanwhile, semiconductors and AI—especially **inference**, the real-time use of trained models—are now the driving force behind margin expansion and upside surprises. Inference isn't a buzzword—it's the *engine* behind the AI spending boom that's fueling the next leg of tech performance.

But the bigger shift as a consequence of the global trade war is structural: a weakening U.S. dollar, capital repatriation from Asia, the democratization of AI and rising long-term rates threaten America's dominance in long-duration assets like tech, private equity and venture capital. At the same time, Bitcoin is quietly gaining strength as a borderless hedge in this transition, with institutional adoption accelerating alongside surging stablecoin use.

AI and Bitcoin are no longer fringe. Together, they're forming the new infrastructure of a financial system that's rapidly diverging from the past.

Key Timestamps & Highlights

(00:00 – 04:00) | Market Recovery & Tariffs Shift

- Markets staged a rapid “I-bottom” recovery with five straight up days.
- Tariffs are fading as the main story; strategic decoupling is underway.

(04:00 – 08:00) | Hedge Fund Capitulation & Currency Headwinds

- Hedge funds triggered the second-largest short covering ever.
- U.S. investors are up, but foreign investors are hurt by the strong dollar.

(08:00 – 12:00) | Semis, AI, and Sentiment Reset

- Semiconductor stocks, especially Nvidia, lead the rally amid AI tailwinds.
- Sentiment and positioning have not completely reset, clearing the way for upside.

(12:00 – 16:00) | The Soft Data Rebound vs. Hard Data Stability

- Economic soft data (like surveys and earnings momentum) is rebounding.

- Jobless claims remain stable—no evidence of recession in the labor market.

(16:00 – 20:00) | Inflation, Deficits, and Dollar Pressures

- Deficits, not tariffs, are the real inflation threat as stimulus grows.
- Repatriation of capital from Asia and Moody's downgrade signal deeper risks.

(20:00 – 24:00) | Capital Flows & The Asian Currency Breakout

- The Taiwan dollar and other Asian currencies are surging—big signal.
- The real risk: U.S. rates rise while the dollar weakens—a break from past cycles.

(24:00 – 30:00) | AI's Inference Boom & Capex Illusion

- AI inference is exploding—100 trillion tokens processed in Q1.
- S&P margins are inflated by delayed Capex expenses while revenues (like Nvidia's) are booked instantly.

(30:00 – End) | Bitcoin, Stablecoins & The Future of Capital Markets

- Bitcoin is consolidating near all-time highs, adoption quietly accelerating.
- Stablecoins and AI-native startups are building a new capital structure outside traditional markets.

Watch Here: <https://youtu.be/TkJCsFnhHTs>

DISCLOSURES AND DISCLAIMERS

Analyst Certification

The analyst, 22V Research Group, primarily responsible for the preparation of this research report attests to the following: (1) that the views and opinions rendered in this research report reflect his or her personal views about the subject companies or issuers; and (2) that no part of the research analyst's compensation was, is, or will be directly related to the specific recommendations or views in this research report.

Analyst Certifications and Independence of Research.

Each of the 22V Research analysts whose names appear on the front page of this report hereby certify that all the views expressed in this Report accurately reflect our personal views about any and all of the subject securities or issuers and that no part of our compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views of in this Report.

22V Research (the "Company") is an independent research provider. The Company is not a member of the FINRA or the SIPC and is not a registered broker dealer or investment adviser. 22V Research has no other regulated or unregulated business activities which conflict with its provision of independent research.

22V Research, LLC is a professional services and independent publication organization. 22V Research, LLC is not a securities broker-dealer, not a member of the Financial Industry Regulatory Authority (FINRA), not a registered investment advisor (RIA) and not a member of SIPC.

Securities transactions, when offered, are offered by 22V Securities, LLC through LPS Capital, LLC. Certain employees of 22V Securities, LLC are dually registered as securities representatives of LPS Capital, LLC or Analyst Hub Securities, LLC. 22V Securities, LPS Capital and Analyst Hub Securities are members FINRA, SIPC.

<https://brokercheck.finra.org/>

Current Ratings Definition.

SECTOR OUTPERFORM: An "outperform" rating anticipates the company will outperform the S&P Regional Banking Index (peer group).

SECTOR PERFORM: A "market perform" rating anticipates the company will perform in line with the S&P Regional Banking Index (peer group).

SECTOR UNDERPERFORM: An "underperform" rating anticipates the company will underperform the S&P Regional Banking Index (peer group).

Limitation Of Research And Information.

This Report has been prepared for distribution to only qualified institutional or professional clients of 22V Research Group. The contents of this Report represent the views, opinions, and analyses of its authors. The information contained herein does not constitute financial, legal, tax or any other advice. All third-party data presented herein were obtained from publicly available sources which are believed to be reliable; however, the Company makes no warranty, express or implied, concerning the accuracy or completeness of such information. In no event shall the Company be responsible or liable for the correctness of, or update to, any such material or for any damage or lost opportunities resulting from use of this data. Nothing contained in this Report or any distribution by the Company should be construed as any offer to sell, or any solicitation of an offer to buy, any security or investment. Any research or other material received should not be construed as individualized investment advice. Investment decisions should be made as part of an overall portfolio strategy and you should consult with a professional financial advisor, legal and tax advisor prior to making any investment decision. 22V Research Group shall not be liable for any direct or indirect, incidental or consequential loss or damage (including loss of profits, revenue or goodwill) arising from any investment decisions based on information or research obtained from 22V Research Group.

Reproduction And Distribution Strictly Prohibited.

No user of this Report may reproduce, modify, copy, distribute, sell, resell, transmit, transfer, license, assign or publish the Report itself or any information contained therein. Notwithstanding the foregoing, clients with access to working models are permitted to alter or modify the information contained therein, provided that it is solely for such client's own use. This Report is not intended to be available or distributed for any purpose that would be deemed unlawful or otherwise prohibited by any local, state, national or international laws or regulations or would otherwise subject the Company to registration or regulation of any kind within such jurisdiction.

Copyrights, Trademarks, Intellectual Property.

22V Research Group, and any logos or marks included in this Report are proprietary materials. The use of such terms and logos and marks without the express written consent of 22V Research Group is strictly prohibited. The copyright in the pages or in the screens of the Report, and in the information and material therein, is proprietary material owned by 22V Research Group unless otherwise indicated. The unauthorized use of any material on this Report may violate numerous statutes, regulations and laws, including, but not limited to, copyright, trademark, trade secret or patent laws.